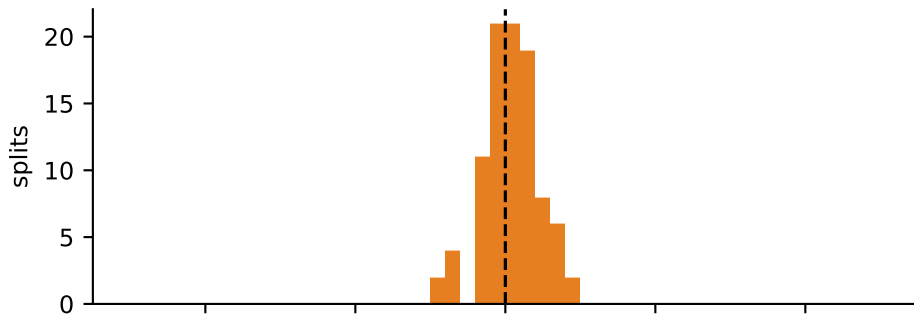
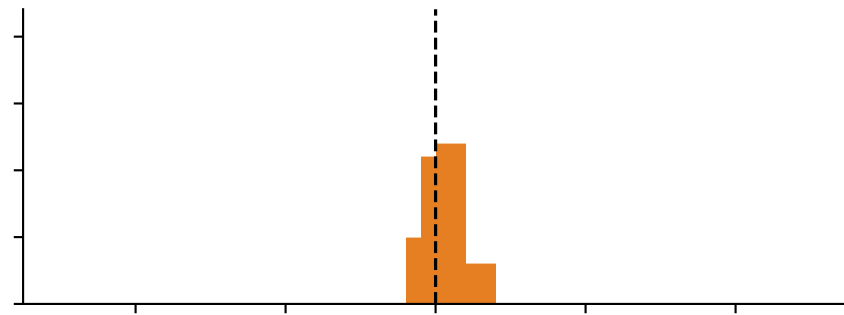


Model v1: where the second-level thresholds land (weekly, drift $\pm 25\%$ a year, 16% volatility, half-life 35 days)

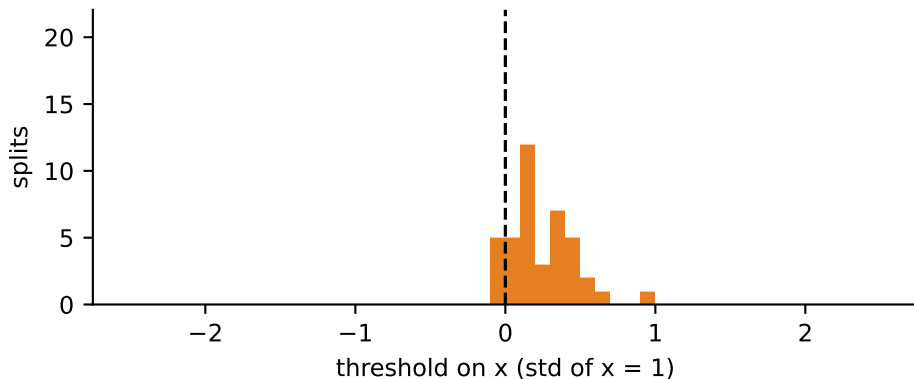
$\lambda = 1$, fee 3 bp (100 datasets): 0% keep a second-level split;
0 such thresholds, none



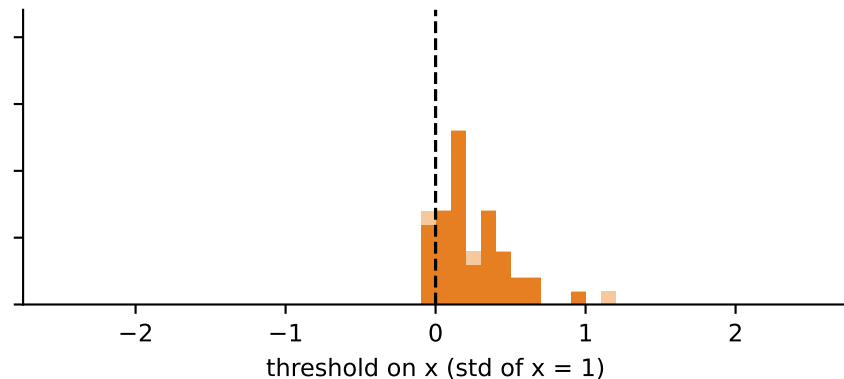
$\lambda = 1$, fee 0 bp (50 datasets): 0% keep a second-level split;
0 such thresholds, none



$\lambda = 5$, fee 3 bp (50 datasets): 0% keep a second-level split;
0 such thresholds, none



$\lambda = 5$, fee 0 bp (50 datasets): 6% keep a second-level split;
3 such thresholds, 33% of them beyond ± 1 (the tails of x)



first threshold second-level thresholds --- planted $d = 0$